

Citizens Financial Group (CFG) — Bank Valuation, Forecast & Positioning

A super-regional bank deep dive on the framework banks are actually valued on — P/E, P/B, price-to-tangible-book and ROTCE — with forecast, Monte Carlo and event analysis.

Ticker CFG Sector Financials · Regional Banks As of 2026-07-12 · \$70.34 ROTCE 10.6% vs CoE ~10%

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Governance & guardrails. Research only — **not investment advice** (Ethics 3.30). **Banks are not valued on EV/EBITDA or ROIC** (deposits are not debt, net interest income is operating) — this report uses the book-value/returns framework: P/E, P/B, price-to-tangible-book (P/TBV) and return on tangible common equity (ROTCE). Data via yfinance; forecasts are scenario anchors on a near-random-walk series; qualitative sections reflect analyst knowledge and must be re-verified.

EXECUTIVE BRIEF

Citizens screens cheap on price-to-book, but that book is padded with acquisition goodwill. On tangible book — the metric that matters — it is fairly-to-slightly-richly valued for its returns: a ~10.6% ROTCE that sits below its super-regional peers. This is a returns story, not a valuation bargain. The path higher runs through ROTCE (private bank, NIM, efficiency), not multiple expansion.

- Valued the right way (banks have no EV/EBITDA): CFG trades at ~1.25x book but ~1.87x tangible book, on a ~10.6% ROTCE — below the super-regional peer group.
- Cheap on P/B is a goodwill illusion: book value ~\$56 vs tangible book ~\$38 (~\$19/share of acquisition goodwill from Investors Bancorp and the HSBC/East-Coast deals).
- On the P/TBV-vs-ROTCE fair line, CFG sits slightly ABOVE (fair ~1.67x vs actual ~1.87x) — modestly rich for its returns; the ROTCE-adjusted fair value is ~\$63 vs ~\$70 today.
- Forward P/E (~10.9x) is roughly in line with peers — the market is neither penalizing nor rewarding CFG relative to the group on next-year earnings.
- The whole thesis is ROTCE improvement: the private-bank build-out, NIM recovery as funding costs ease, and the efficiency/TOP programs are what would re-rate the tangible-book multiple.
- Technically constructive but price-behavior is a near-random walk; the 12-month Monte Carlo is wide — treat point forecasts as scenario anchors, not targets.

Confidence: MODERATE

WORKING PAPER

1 · Why banks need a different lens

A bank has no meaningful enterprise value or EBITDA — its deposits are raw material, not leverage, and net interest income is operating revenue. So EV/EBITDA, EV/Sales and industrial ROIC do not apply. Banks are valued on **earnings (P/E)**, **book value (P/B)**, **tangible book (P/TBV)** and the returns that justify them — **ROE and ROTCE**. The central relationship, the bank analog of

Mauboussin's ROIC point: **a bank's P/TBV is a function of its ROTCE versus its cost of equity**. High-return banks earn a premium to tangible book; low-return banks trade at or below it.

2 · Where CFG trades vs. peers

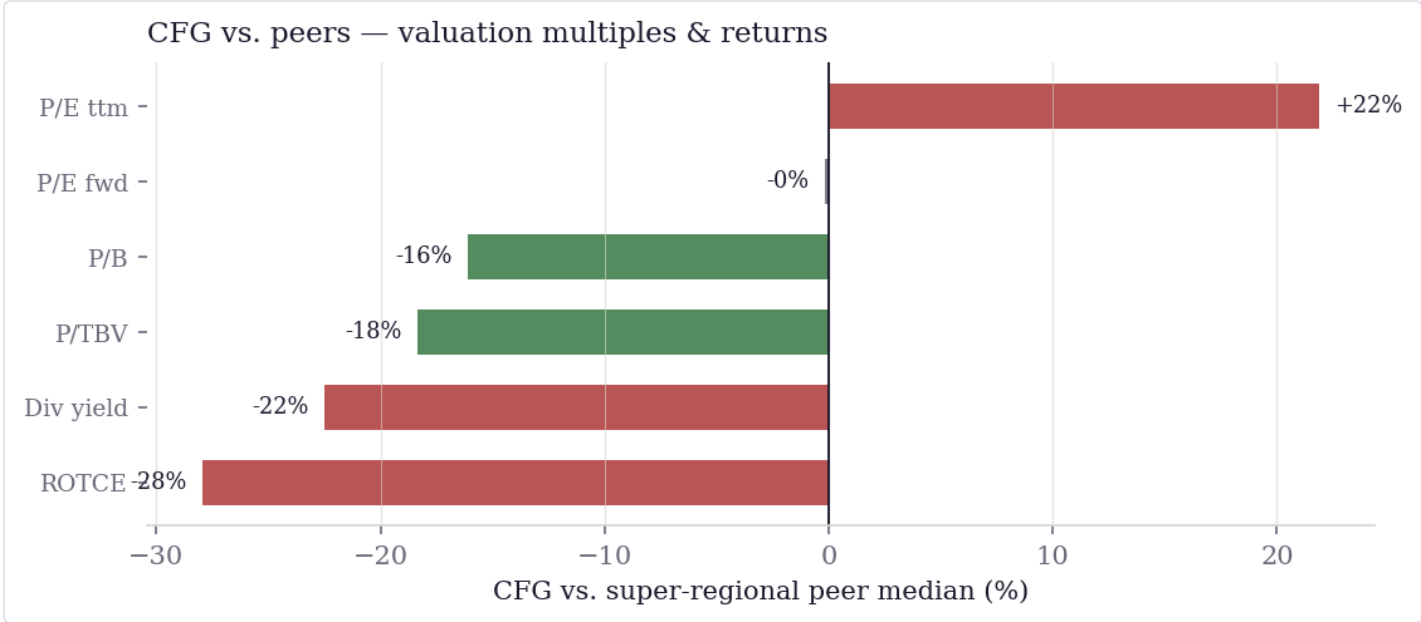


Fig. 1. CFG vs. the super-regional peer median. Red = more expensive multiple; green = cheaper multiple / higher returns.

Metric	CFG	Peer median	Read
P/E trailing	16.67	13.68	+22% expensive
P/E forward	10.92	10.94	in line
P/B	1.25	1.48	-16% cheap
P/TBV	1.87	2.29	-18% cheap
ROTCE %	10.60	14.73	-28% lower
Dividend yield %	2.62	3.38	-22% lower

Table 1 — CFG vs. super-regional peer median.

Bank	P/E ttm	P/E fwd	P/B	P/TBV	ROTCE %	Div yld %
CFG ●	16.7	10.9	1.25	1.87	10.6	2.62
USB	13.1	11.0	1.66	2.38	17.6	3.33
PNC	14.6	11.9	1.75	2.20	14.3	3.18
TFC	12.8	10.2	1.09	1.70	13.1	4.03
FITB	19.2	11.6	1.62	3.88	17.8	2.80
KEY	14.3	10.8	1.45	1.66	11.2	3.52
HBAN	13.7	9.4	1.22	2.44	14.0	3.47
RF	12.9	10.9	1.52	2.44	19.0	3.42
MTB	13.6	11.6	1.39	1.99	15.2	2.48
JPM	16.1	14.1	2.62	3.24	20.0	1.78
BAC	14.8	11.7	1.54	2.03	14.0	1.88
WFC	13.5	11.0	1.64	2.00	15.2	2.06
C	17.4	11.2	1.25	1.42	7.7	1.71

Table 2 — the comp set (● = CFG).

2a · Multiples by industry — the Financials space

Valuation levels are not uniform across financials; they track returns. Regional banks — CFG's group — sit at the **bottom** of the space on both P/E and price-to-book, precisely because they earn the lowest returns on equity, while high-ROE, capital-light businesses (exchanges, capital markets) command 3×+ book. This is the same ROE→multiple relationship that governs CFG's own P/TBV, seen one level up.

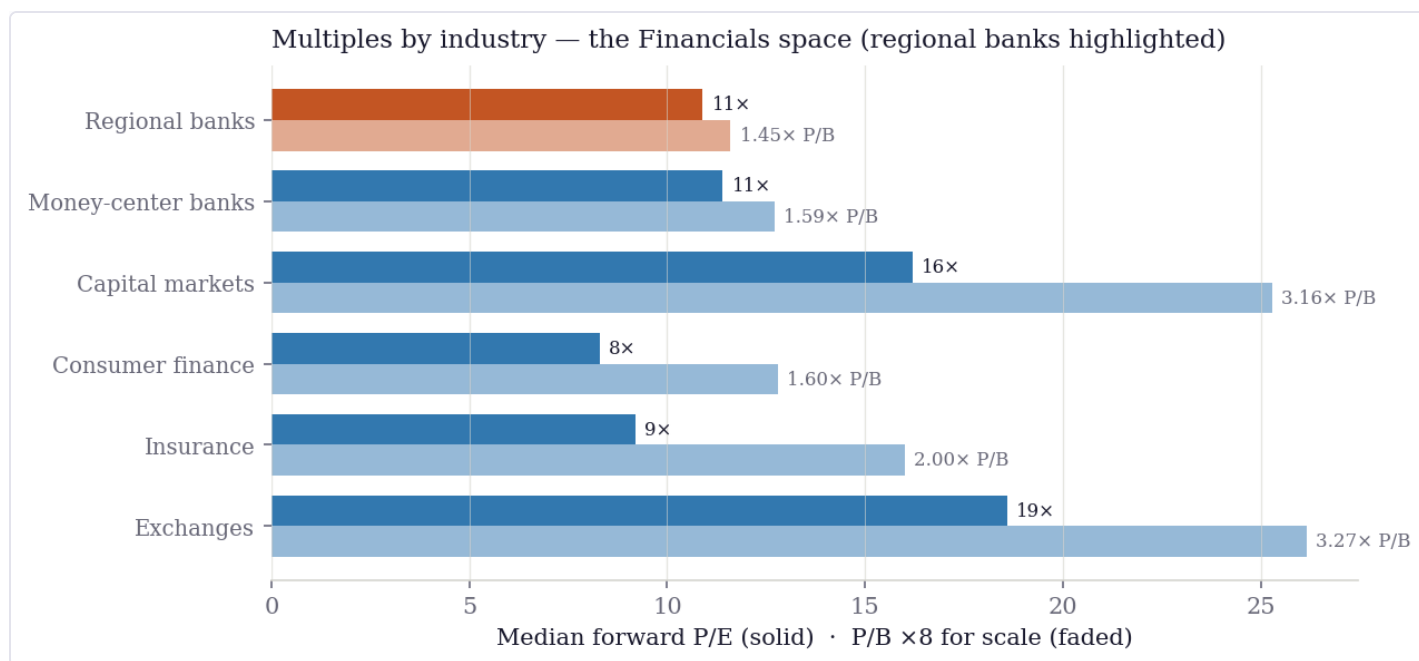


Fig. 2. Median forward P/E and P/B by financial sub-industry (● = CFG's group). Multiples rise with returns on equity.

Sub-industry	P/E	Fwd P/E	P/B	ROE %	Div yld %
Regional banks ●	13.7	10.9	1.45	10.0	3.33
Money-center banks	15.5	11.4	1.59	11.3	1.83
Capital markets	20.3	16.2	3.16	15.5	1.75
Consumer finance	21.9	8.3	1.60	21.8	1.59
Insurance	12.1	9.2	2.00	14.2	2.12
Exchanges	20.5	18.6	3.27	15.9	1.54

Table 3 — median multiples by financial sub-industry.

3 · Fair value — four bank methods

Method	Implied price	vs. \$70
Peer-median P/E (fwd)	\$70	-0%
Peer-median P/B	\$84	+19%
Peer-median P/TBV	\$86	+22%
ROTCE-adjusted P/TBV (regression)	\$63	-10%

Table 4 — implied share price from each peer-relative bank method.

The tension is the story. On **raw P/B (1.25)** CFG screens cheap — but that book value is inflated by acquisition goodwill (book \$56.48 vs. **tangible book \$37.61**). On the metric banks actually use, **P/TBV is 1.87**, and the **ROTCE-adjusted fair P/TBV is 1.67** (regression) — i.e. given its 10.6% return on tangible equity, CFG is trading slightly rich for its returns, not a bargain. The forward P/E (10.92×) sits roughly in line with peers.

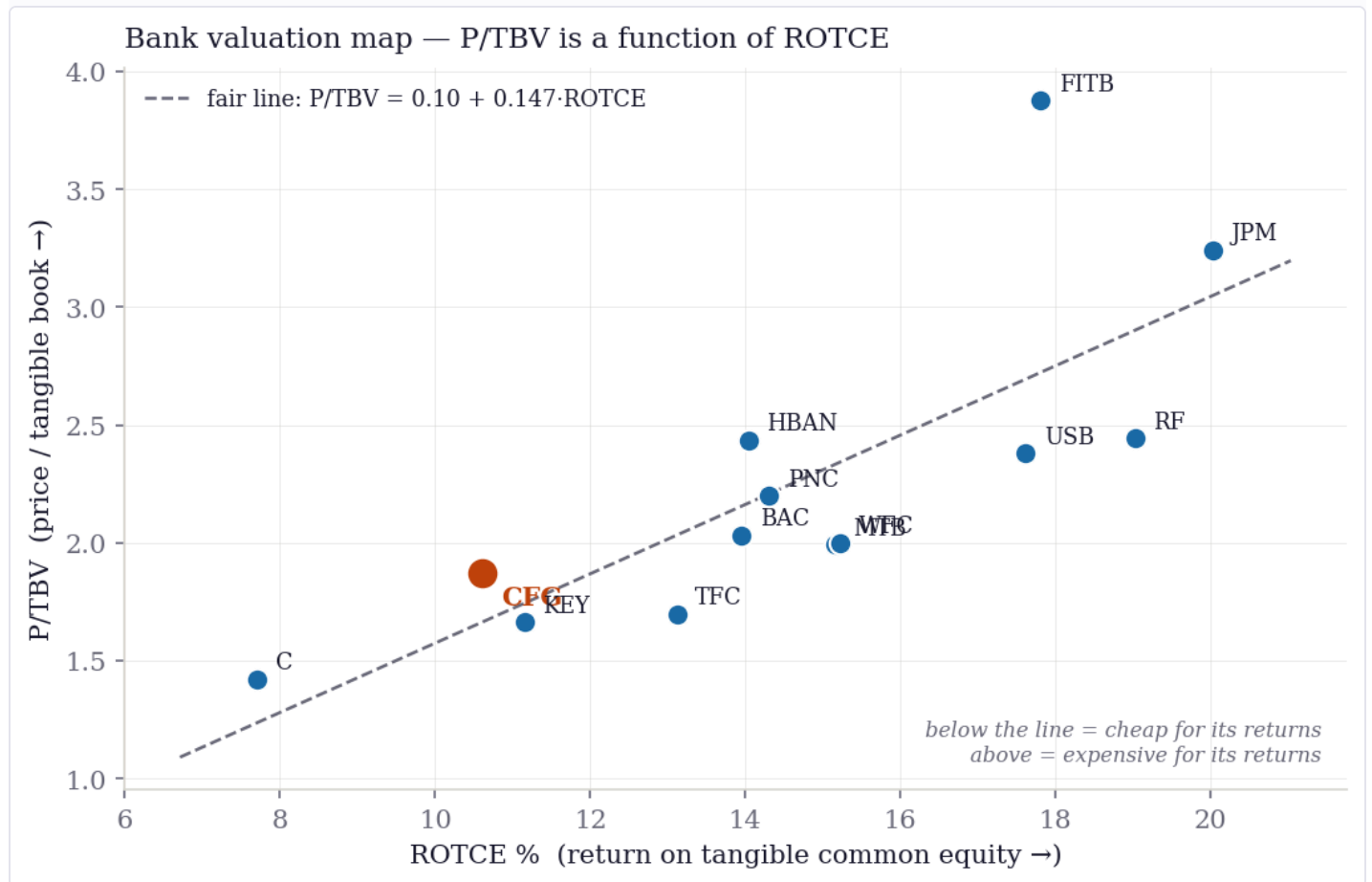


Fig. 3. The bank valuation map. CFG sits above the P/TBV-vs-ROTCE fair line (residual +0.20) — expensive for its return profile. Higher-ROTCE peers earn higher tangible-book premiums.

The reconciliation is the whole point of using the bank lens. Screening on P/B alone (1.25x) flags CFG as one of the cheapest names in the group; screening on P/TBV (1.87x) against ROTCE puts it slightly above fair. Both are 'true' — the gap is goodwill. For a bank, tangible book and the return on it are the honest measures, and they say CFG is a reasonably-valued, below-average-return franchise whose re-rating depends on lifting ROTCE toward peers.

3a · Historical multiples vs. the industry (FY2021–FY2025)

The history reinforces the point. Across the available window, CFG has traded at a persistent discount to the super-regional peer median on both P/B and P/TBV — the visual signature of its lower ROTCE — with the discount widest in the 2022–23 rate-shock and regional-bank stress, then

narrowing as the franchise recovered. Its P/E tells the opposite story: in line with peers early, then flipping to a premium in 2024–25 as CFG's earnings troughed faster than the group's (a high P/E on depressed EPS, not a richness signal). Note yfinance's free fundamentals reach only five fiscal years; a genuine seven-to-ten-year series requires a paid feed (see next steps).

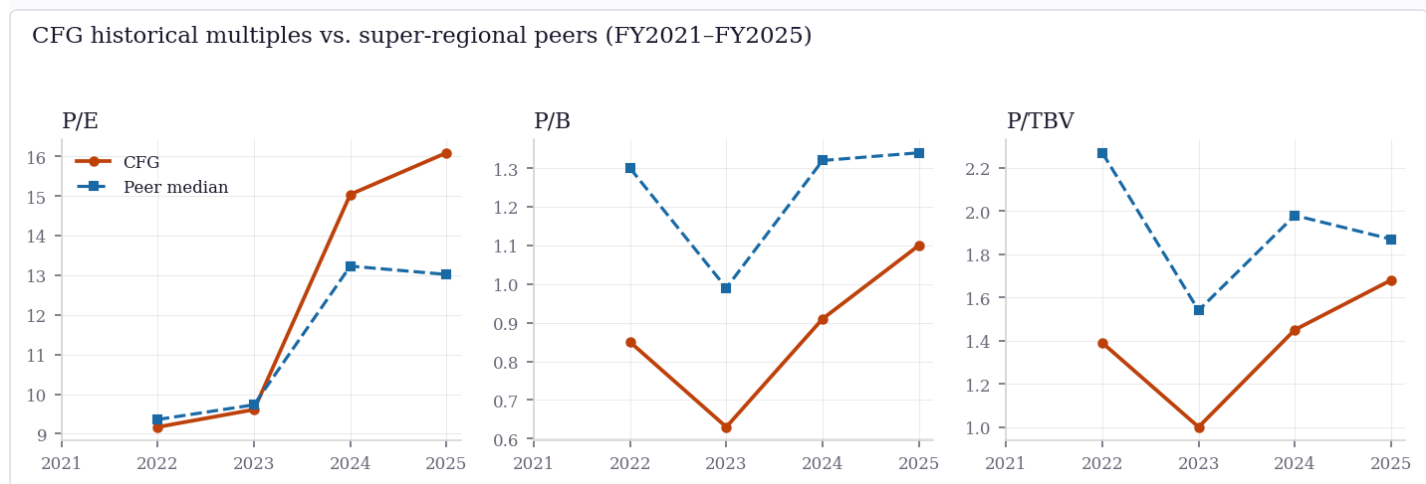


Fig. 4. CFG (orange) vs. super-regional peer median (blue) on P/E, P/B and P/TBV, FY2021–FY2025. The persistent book/tangible-book discount is the visual signature of the ROTCE gap; the P/E line flips to a premium as CFG's earnings trough.

FY	CFG P/E	Peer P/E	CFG P/B	Peer P/B	CFG P/TBV	Peer P/TBV
2021	—	—	—	—	—	—
2022	9.2	9.4	0.85	1.30	1.39	2.27
2023	9.6	9.7	0.63	0.99	1.00	1.54
2024	15.0	13.2	0.91	1.32	1.45	1.98
2025	16.1	13.0	1.10	1.34	1.68	1.87

Table 5 — CFG vs. super-regional peer-median multiples by fiscal year. (Free fundamental data reaches FY2021–FY2025; a longer series needs a paid feed — see Appendix.)

4 · What is driving CFG

Citizens is a ~\$220B-asset super-regional built out through acquisition (Investors Bancorp, the HSBC East Coast and Ascent private-bank hires). The share-price recovery is a rate-and-returns story: net interest margin stabilizing as deposit costs ease, a fast-growing Private Bank and wealth franchise aimed squarely at lifting ROTCE and fee mix, disciplined expense programs (TOP), and steady capital return via buybacks and a ~2.6% dividend. The market is paying a roughly peer-level forward multiple for an improving-but-still-below-peer return profile.

5 · Headwinds

The risks are the classic regional-bank set, sharpened by CFG's mix. Commercial real estate — especially office and the general-office book it has been actively running down — is the marquee credit worry. Net interest income is rate-path dependent: a sharp fall in rates pressures asset yields, while higher-for-longer keeps deposit costs sticky. Deposit competition and the post-2023 flight-to-size dynamic favor the money-center banks. Regulation (Basel III endgame capital, potential CRE-driven scrutiny) and a below-peer ROTCE that must actually improve for the thesis to work round out the list.

6 · Technical read

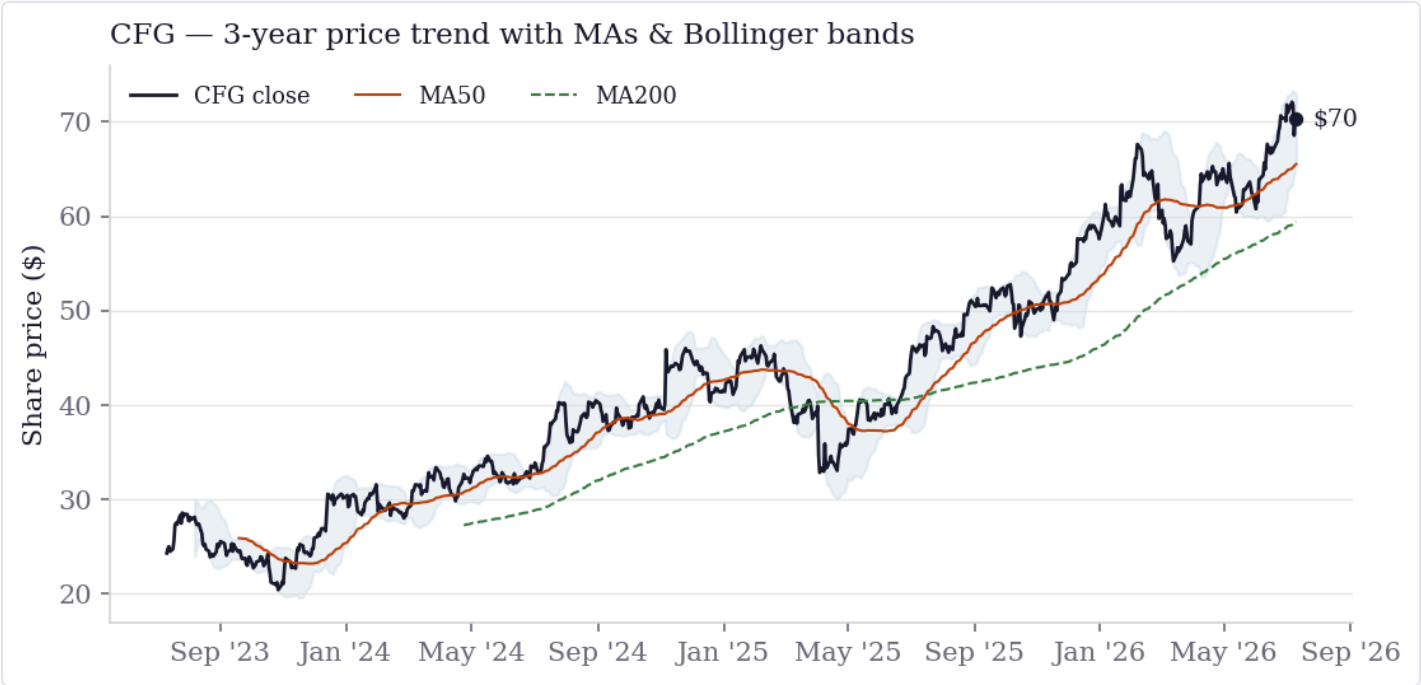


Fig. 5. 3-year price with MA50/200 & Bollinger bands.

Indicator	Reading
MA50 / MA200	\$65.53 / \$59.45 — golden cross
RSI(14)	58.4
Bollinger %B	64% (upper \$72.96)
52-week range	\$45.23–\$72.11 (-2% off high)
Realized vol (90d, ann.)	24.3%

Table 6 — technical dashboard.

7 · Price forecast (1 / 3 / 6 months) — ETS, ARIMA & VAR

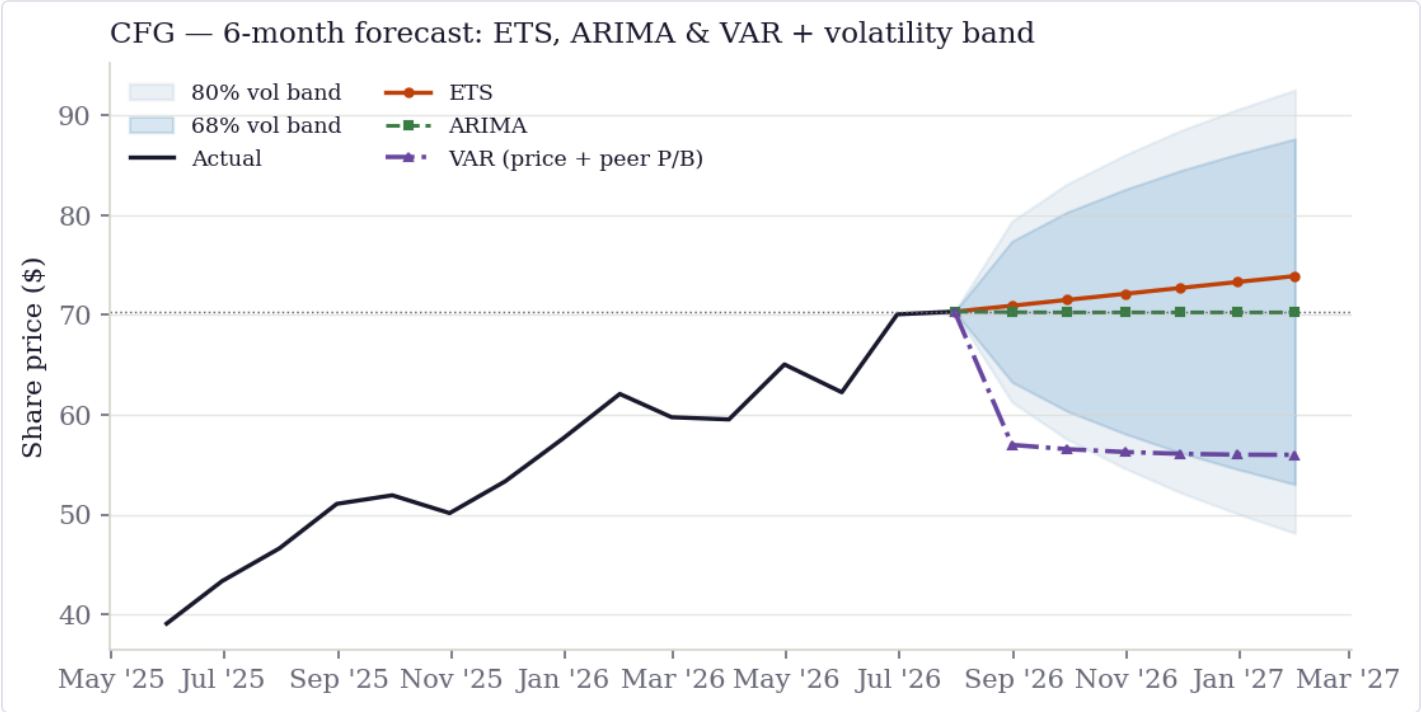


Fig. 6. Three models: ETS (trend), ARIMA (flat), and a **VAR** on [log price, peer-median P/B] — a bivariate model in which a historical valuation multiple co-drives the price forecast. The VAR reverts toward CFG's FY2021–FY2025 average valuation.

Horizon	ETS	ARIMA	VAR	68% vol band
1 month	\$71	\$70	\$57	\$63–\$77
3 months	\$72	\$70	\$56	\$58–\$83
6 months	\$74	\$70	\$56	\$53–\$88

Table 7 — point forecasts (ETS, ARIMA, VAR) + 68% volatility band. Scenario anchors, not predictions.

Reading the three models. ETS extrapolates the recovery uptrend; ARIMA (near random walk) stays flat at ~\$70; the **VAR** — which ties price to the peer group's price-to-book — pulls **down toward ~\$56**, reading today's price as extended versus CFG's own FY2021–FY2025 valuation history. That is a mean-reversion *signal* off a short, lower-priced sample, not a literal one-month path; the three together bracket a wide range and reinforce that these are anchors, not predictions.

8 · Monte Carlo & events

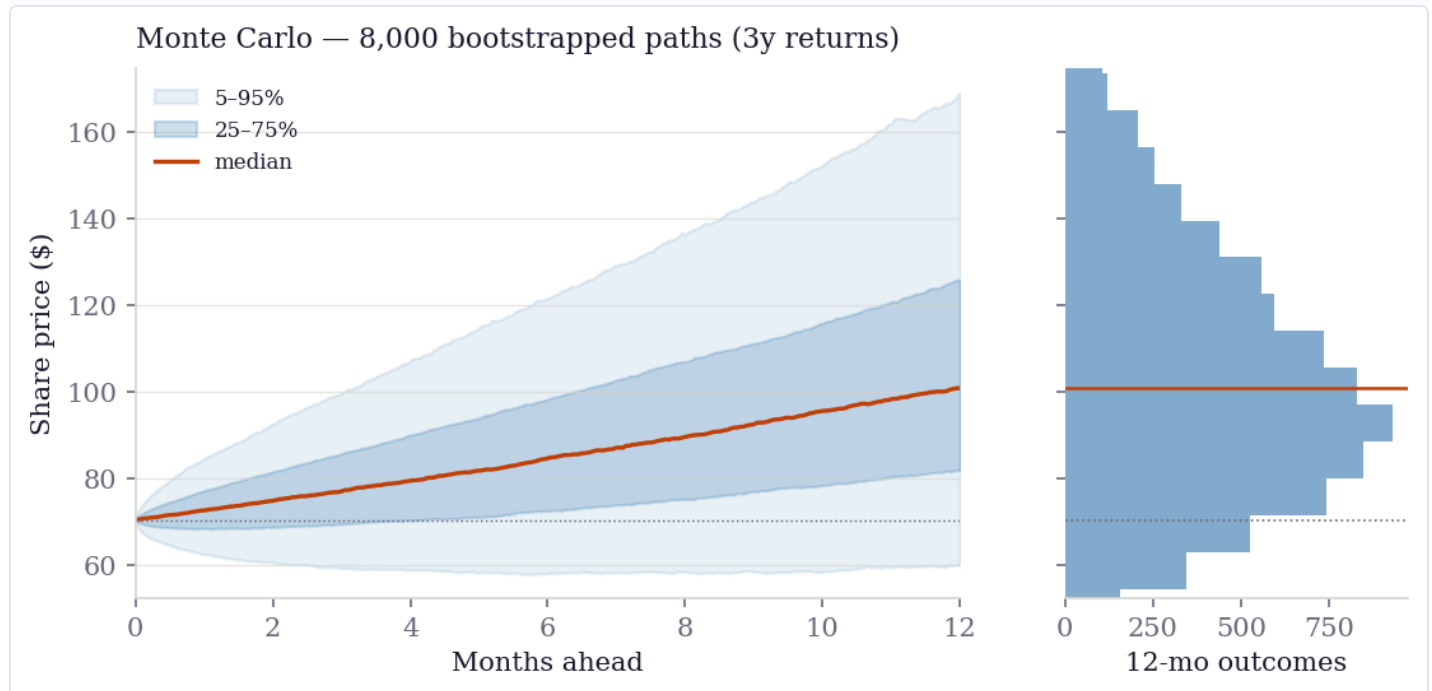


Fig. 7. 10k bootstrapped paths + 12-month distribution.

Horizon	P5	P25	Median	P75	P95	P(>current)
6mo	\$58	\$72	\$85	\$98	\$121	79%
12mo	\$60	\$82	\$101	\$126	\$169	88%

Table 8 — Monte Carlo percentiles (embeds recent drift; driftless null $\approx$ current price).

Beyond the smooth simulation, CFG's history is punctuated by discrete shocks. The chart below isolates the **largest single-day moves of the past 10 years** — the concrete tail events the Monte Carlo only approximates — and shows where today's \$70 would land if each recurred.

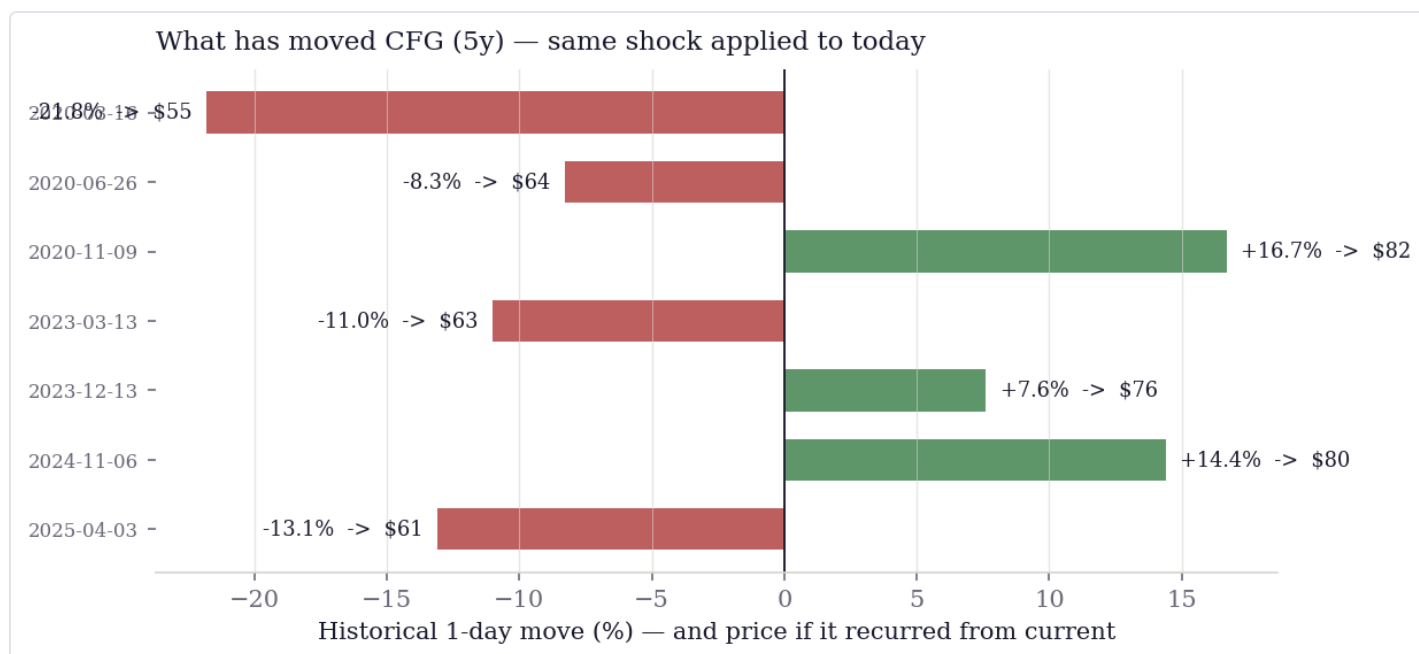


Fig. 8. CFG's largest single-day moves over the past 10 years, and the price each would imply from today's \$70.

Date	1-day move	Likely catalyst	If repeated from \$70
2020-03-16	-21.8%	COVID-19 crash ("Black Monday"), rate collapse	\$55
2020-06-26	-8.3%	Fed caps bank dividends / pandemic stress-test results	\$64
2020-11-09	+16.7%	Pfizer vaccine efficacy news — reopening/value rally	\$82
2023-03-13	-11.0%	Regional-bank crisis after SVB & Signature failures	\$63
2023-12-13	+7.6%	Dovish Fed pivot — FOMC signals rate cuts	\$76
2024-11-06	+14.4%	2024 U.S. election — deregulation & steeper-curve optimism	\$80
2025-04-03	-13.1%	Tariff-shock market selloff	\$61

Table 9 — the 5–7 biggest CFG price events (10-year window) and their forward echo. Attributions are analyst-reconstructed from the move dates; the recurrence prices assume the identical one-day shock from today and are illustrative, not forecasts. Note the asymmetry: CFG's worst days are macro/systemic (a pandemic, a banking panic, a tariff shock) while its best days are policy relief — a reminder that a regional bank's tails are driven by rates, credit and regulation, not idiosyncratic news.

9 • Competitive landscape

The super-regional tier is consolidating and bifurcating. Scale winners (JPMorgan, BofA) keep taking deposit share on the perception of safety and technology spend; among peers, higher-return franchises (Fifth Third, Regions, M&T, US Bancorp) command clear tangible-book premiums, while lower-return names (Citizens, KeyCorp, Citigroup) cluster near or below the fair line. M&A is a live force across the tier (e.g., the wave of regional mergers), and CFG is both a potential consolidator and, given its franchise, a name frequently mentioned in tie-up speculation. Non-bank competition

— fintech deposit-gatherers and private-credit funds taking share in middle-market lending — pressures both sides of the balance sheet.

10 · SWOT

STRENGTHS

- Attractive New England / Mid-Atlantic deposit franchise (~\$220B assets)
- Fast-growing Private Bank & wealth build-out aimed at ROTCE and fee mix
- Disciplined expense culture (TOP programs); steady buybacks + ~2.6% yield
- Diversified commercial + consumer lending platform

WEAKNESSES

- Below-peer ROTCE (~10.6%) — the core valuation constraint
- Goodwill-heavy book (tangible book ~2/3 of stated book)
- Commercial real-estate / general-office credit exposure
- Integration and execution risk from an acquisition-built franchise

OPPORTUNITIES

- ROTCE lift from Private Bank scaling, NIM recovery and efficiency
- Fee-income growth (wealth, capital markets) to de-risk NII reliance
- Capital return as Basel clarity arrives; potential consolidation upside
- Deposit-cost relief as the rate cycle turns

THREATS

- CRE/office credit deterioration
- Rate-path shocks to net interest income
- Deposit flight-to-size favoring money-center banks
- Basel III endgame capital requirements; regulatory scrutiny

11 · Pairs trades to watch

Because CFG's story is relative returns, market-neutral expressions are cleaner than an outright position (illustrative, not recommendations). Long CFG / Short a higher-multiple, similar-return peer (e.g. Fifth Third, which sits well above the fair line) is a mean-reversion-on-the-P/TBV-line trade. Long a higher-ROTCE, fairly-priced peer (RF, MTB) / Short CFG expresses the 'pay for returns' view if you doubt CFG's ROTCE catches up. CFG vs. the KRE regional-bank ETF isolates the idiosyncratic ROTCE-improvement call from the rates/sector beta. Entry should respect the technical setup; a below-peer-returns bank re-rates only when the return actually improves, so pair around earnings and NIM prints.

12 · Next steps

- Add a proper cost-of-equity (CAPM with the bank's beta) and compare to ROTCE for an explicit value-creation spread, not a ~10% proxy.

- Bring in CET1 capital, NIM, efficiency ratio and net charge-off trends — the operating drivers behind ROTCE — as their own tracked series.
- Reconstruct historical P/TBV and ROTCE to see whether CFG's position on the fair line is improving or deteriorating over time.
- Segment the loan book (CRE/office exposure, C&I, consumer) with reserve coverage for a real credit-stress scenario.
- Swap realized-vol forecast bands for options-implied vol; add an earnings/CCAR/Fed-decision event calendar.
- Generalize the engine with an industry 'profile' (bank / REIT / insurer) so the right multiples are selected automatically instead of via a separate bank module.

13 · Scholarly references

The methods used here rest on an established academic literature. Peer-multiple valuation and comparable-firm selection: [1]–[4]; accounting-based (book value / residual income) valuation and the price-to-book–profitability link: [5]–[6]; bank-specific valuation, market-to-book and cost of equity: [7]–[11]; market efficiency, technical indicators and Monte-Carlo simulation behind the forecast section: [12]–[15].

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APPENDIX A — HISTORICAL MULTIPLES, CFG VS. EVERY PEER (FY2021–FY2025)

The section-3a chart compares CFG to the peer *median*; this appendix shows CFG (orange) against *each* super-regional peer individually, so the full dispersion is visible. The year-by-year CFG-vs-median values are tabulated in §3a.

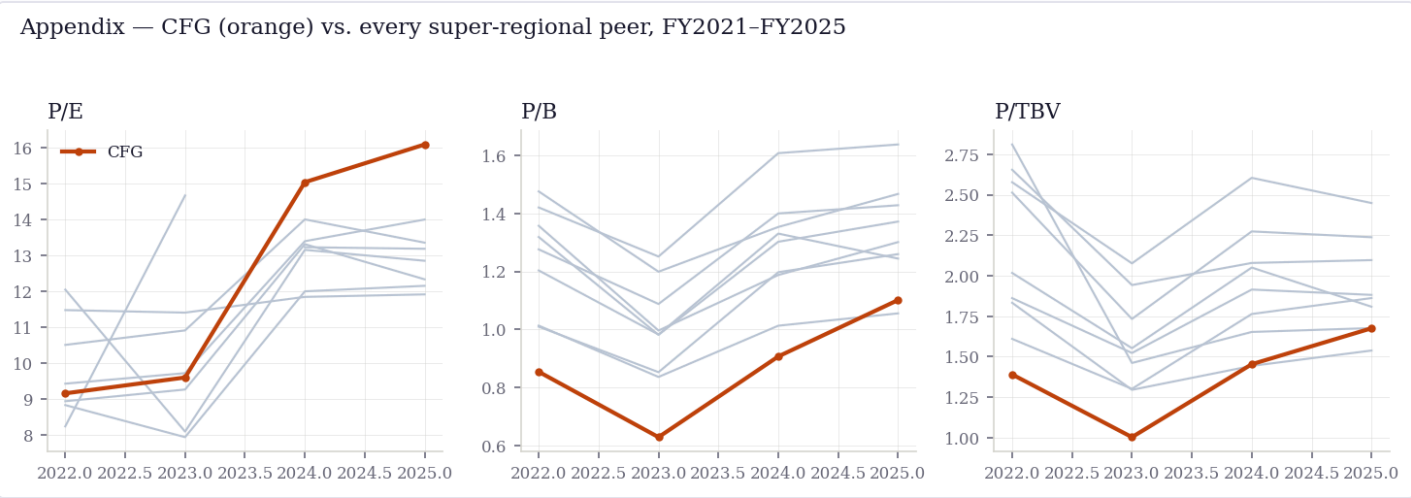


Fig. A1. CFG (orange, bold) vs. every super-regional peer on P/E, P/B and P/TBV, FY2021–FY2025. CFG sits at or near the bottom of the P/B and P/TBV ranges throughout — a consistent tangible-book discount, not a one-year anomaly.

Data-window note. The multiples above are reconstructed from annual financial statements, which the free data source (yfinance) provides for five fiscal years (FY2021–FY2025). A full seven-to-ten-year multiple history is available from paid fundamental feeds (e.g. Bloomberg, S&P Capital IQ, FactSet) and is listed as a next step; the ten-year price history used in the technical and event sections is not similarly constrained.

Provenance. PRISM bank deep-dive (bank_supplement.py + bank_report.py). Reuses the general price engine (deepdive.py: technicals, ETS/ARIMA, bootstrap Monte Carlo, events). Valuation on the bank framework (P/E, P/B, P/TBV, ROTCE); P/TBV-vs-ROTCE regression is the bank analog of Mauboussin's ROIC-vs-multiple point. Data yfinance. Content hash 5608e60ee6c79072 · 2026-07-12. **Not investment advice.**